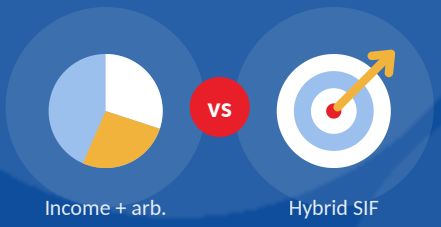
ASSETPLUS

COMPARE BEFORE YOU INVEST

SIF vs Income Plus Arbitrage FoFs

Suresh's question, answered in plain words



In short: ₹10 lakh in these FoFs became ₹10,46,500 in 12 months; in the middle hybrid SIF ₹10,75,100. Over the last 6 months they were almost level.

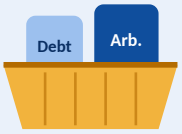


Suresh, 52

Senior manager · ₹30 lakh in these FoFs

Suresh moved his debt money into income plus arbitrage funds of funds for one reason: hold for 2 years and pay 12.5% tax instead of 30%. They have been steady. But a colleague put ₹10 lakh in a hybrid SIF and keeps talking about it.

"Mine is steady and tax-smart. Why would I change?"



IN PLAIN WORDS

A fund of funds is a tiffin with two fixed dishes

One box holds a debt fund and an arbitrage fund. You get both in one packet, with the tax benefit if you hold for 2 years.

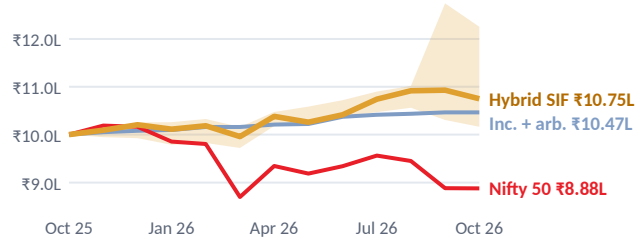


IN PLAIN WORDS

A hybrid SIF carries an umbrella

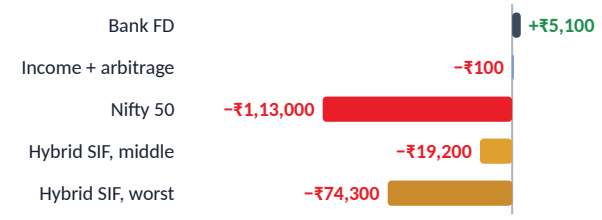
Most of the money earns steadily in arbitrage and bonds, some sits in shares, and a small 'short' part gains when markets fall. On a rainy day you still get a little wet, just less.

₹10 lakh, 12 months ago — month-end value



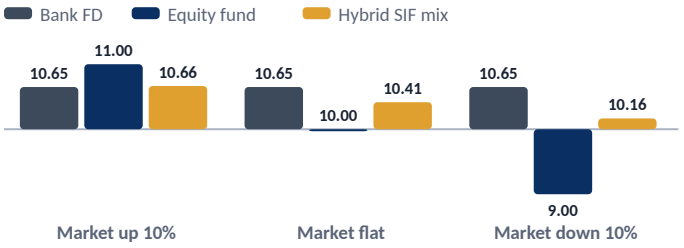
Gold band: the 3 hybrid SIFs with a full year; line: the middle one.

The worst month: March 2026 — gain or loss on ₹10 lakh



The Nifty fell 11.3% that month. Before tax.

What if, next year? — ₹ lakh after 1 year; illustration, not a forecast



Mix: ₹35 shares, ₹10 short, ₹40 arbitrage, ₹25 bonds. Real funds also depend on the manager.

At a glance

	Income plus arbitrage FoFs	Hybrid SIF
₹10 lakh became	₹10,46,500	₹10,75,100
Losing months (of 12)	2	4
Tax (30% slab)	Slab within 2 yrs	Per its documents
Money out	Any business day	Set days only
Minimum	Small amounts	₹10 lakh

Hybrid SIF = middle of 3 funds with a full year; they ended between ₹10,16,400 and ₹12,25,600.

Stay with the FoF if

- Steadiness matters more than a little extra return
- You will hold 2+ years for the 12.5% rate
- You want to add small amounts

Consider a hybrid SIF if

- You can put ₹10 lakh in one fund house's SIF
- You accept monthly dips for more upside
- You check how the strategy is taxed

Mutual Fund investments are subject to market risks, read all scheme related documents carefully. Past performance may or may not be sustained in future. Investments in Specialized Investment Funds involve relatively higher risk, including potential loss of capital, liquidity risk and market volatility. Please read all SIF related documents carefully before investing. Illustrative, for investor education by AssetPlus; not a recommendation of any scheme or strategy. Tax for a 30% slab investor before cess and surcharge, under today's rules; it depends on each investor's situation. Sources: AMFI SIF and mutual fund NAVs (our calculations, Regular plans, growth), AMFI SIF assets, NSE Indices, RBI, SEBI SIF framework. Data to 23 Oct 2026.